

lackluster, but its balance sheet was liquid, and contained land and buildings held at cost, and therefore likely very undervalued. The chairman declared it a “damn nuisance” that Brierley had launched just before Christmas—a classic Brierley tactic—believing that he was trying to catch them asleep at the wheel—he was.<sup>17</sup> He had also sent his offer under the heading “Memorandum to the Members of Southern Cross” with his name and address at the bottom, which, by coincidence, was in the same building as Southern Cross, giving the impression that Southern Cross had itself issued the memorandum. Management fired off an open letter to Brierley charging him with acting in bad faith, pointing to the low-ball bid, which was to be paid over three years, and was also conditional on acceptance by 51 percent of shareholders. Brierley responded with his own open letter, noting, “If their statement is meant to imply that the shares are worth more than 20 shillings each, this seems strange in view of the fact that the society has itself arranged a number of sales over the past few years around the 12-shilling mark, and the directors themselves have purchased shares at this level without previously having felt compelled to advise the members that they were worth more.”<sup>18</sup> In March 1962 management announced a one-for-one bonus issue “to demonstrate the strength of [Southern Cross’s] structure by bringing its balance sheet more in line with its assets position.”<sup>19</sup> The company also revalued its land and buildings at almost double the 1961 book value. The share price responded. Though it was another unsuccessful bid, local newspapers again recognized Brierley’s role in pushing up the stock price. Brierley said, “It was a vintage example of an organization selling at vastly less than its value which all of a sudden discovers it can reward its shareholders like never before in its history.”<sup>20</sup>

After a third bitterly fought and failed takeover bid, Brierley found some success in 1963 when he got control of the Finance Corporation of New Zealand.<sup>21</sup> He wanted the impressive name, which obscured the fact that the company been formed in 1952 to finance the hire purchase of radios. It had been orphaned when its parent, the Radio Corporation of New Zealand Limited, was taken over, and in the rest of its 11-year existence had earned just NZ£19,000 (about \$630,000). He immediately issued a prospectus under the name Finance Corporation of New Zealand to raise NZ£100,000 in 10 percent unsecured notes. Brierley was right about the power of the name. The issue was massively oversubscribed, raising NZ£266,000 (about \$8.6 million), and made Brierley a force to be reckoned with.

Brierley used the capital to harass the detritus of the stock market—unlisted public companies for which there was no active market, and in which many of the shareholders could not be found. In the 1930s, forestry companies had used *share-hawkers* to sell stock door-to-door, promising that the shares would be valuable when the forests were felled 30 years hence.